

by one of these companies, you need to know your rights under the Fair Debt Collection Act.⁸

Home Equity Loans

Some people might wonder why I place home equity loans in this section about credit to avoid. After all, home equity loans are one of the few loans still available where the interest may be able to be deducted from one's income taxes.

In general, these loans have several features that make them hazardous to an individual's long-term financial health. First, they encourage someone to borrow against the equity of the home when in truth he or she should be working to pay the remaining mortgage off.

Second, the interest rates are usually floating, meaning that they can be adjusted as the prevailing interest rates change. That puts the borrower in a position in which it is nearly impossible to control future costs.

Third, most of these loans (to date) are demand notes, meaning they can be called for total payment at any time. This places the debtor in the position of constant jeopardy with the lender. During a bad economy, the lender is likely to call the note to renegotiate the terms or sell the collateral (your home).

Payday Loans

Another source of credit to avoid is payday loans. Businesses that offer these loans are legal in thirty-nine states, though nearly a dozen ban such loans.

The problem with payday loans is that most borrowers can't afford repayment and need to borrow again to pay off their initial loans. The average rate on these loans runs about 400 percent annually.

The Center for Responsible Lending figured that a loan of \$325 took \$793 to repay. The center figured an average fee of \$52 and "multiplied it by nine to account for the number of times such a